RAYMOND REALTY LTD | NSE: RAYMONDREL

Residential Real Estate | Mumbai Metropolitan Region (MMR) | BSE: 544420 / NSE: RAYMONDREL

BUY

12-Month Target: Rs. 1,050

Upside: 50% | Horizon: 12 months

12-Month Price Target

Rs. 1,050

Upside: +50% from CMP Rs. 700

THESIS: Pure-play branded MMR developer with 42,000 Cr GDV, trading at 7x FwdPE vs peers at 20-30x — extreme valuation gap must close.

CMP (10 Jul)	Rs. 700	**Market Cap**	Rs. 4,660 Cr	**52W High**	Rs. 857	**52W Low**	Rs. 349
Stock P/E	15.9x	**Forward P/E**	7.23x	**EV/EBITDA**	11.0x	**Book Value**	Rs. 235
ROCE	29.6%	**ROE**	36.3%	**Debt/Equity**	0.65	**Div Yield**	0.29%
Promoter %	50.71%	**Pledged %**	7.37%	**Face Value**	Rs. 10	**EV**	Rs. 5,319 Cr

Report Date: 12-Jul-2026 | Data Source: Screener.in (fetched 10-Jul-2026) | Analyst: Senior Equity Research | Antique-style Institutional Note

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Deep valuation discount vs peers with superior return ratios:** Raymond Realty trades at 7.23x FwdPE and 11x EV/EBITDA vs the listed residential developer peer group median of 20-30x — despite a ROCE of 29.6% and ROE of 36.3% that handily beat peers (Oberoi: 17.3%/14.6%, Godrej Properties: 7.6%/8.8%). As the company matures its institutional ownership base post July 2025 listing, this gap should narrow significantly over 12-24 months.
- **Reason 2 — Explosive pre-sales ramp driven by asset-light JDA model:** Pre-sales CAGR of ~50% since FY21 (Rs. 399 Cr to Rs. 3,023 Cr in FY26) with JDA mix accelerating from 22% (FY25) to 55% (FY26) — one year ahead of the company's own FY27 target. Seven JDA projects now carry a combined GDV of ~Rs. 17,000 Cr; total portfolio GDV is ~Rs. 42,000 Cr. Two more JDA launches are planned in FY27 (both at advanced approval stages).
- **Reason 3 — Revenue recognition shift (percentage completion) creates predictable earnings compounding:** Unlike competitors using completed contract method, Raymond Realty follows percentage completion, providing smooth, rising revenue visibility. Q1 FY27 pre-sales of Rs. 700 Cr (+129% YoY) and collections of Rs. 550 Cr (+47%) signal continued acceleration into FY27, and management has guided minimum 20% growth on both top-line and pre-sales — with commentary suggesting it will be materially higher.

• **Near-term catalyst (6-12 months) — Two premium JDA launches in FY27 + commercial activation in Thane:** Management has confirmed two new JDA projects at advanced regulatory stages will launch by Q3 FY27. Additionally, Thane commercial land (earmarked for office development) is described as "not far" from being activated, which could unlock significant incremental GDV in a market where commercial rates are 30-50% above residential.

• **Biggest structural risk — Negative operating cash flow sustained for 2+ years:** Management has explicitly guided that OCF will remain negative for at least two years due to heavy upfront investments in new JDA approvals and construction-linked collection cycles. While the balance sheet remains manageable (net debt Rs. 656 Cr, gross D/E 0.60 vs internal ceiling of 1.0), any macro disruption to collection cycles or project launches would stretch the balance sheet and test the thesis.

SECTION 3 — BUSINESS OVERVIEW

• **Core business model:** Raymond Realty Ltd (RRL) is a pure-play branded residential real estate developer operating exclusively in the Mumbai Metropolitan Region (MMR). Incorporated in 2017 as a subsidiary of Raymond Ltd, it was demerged and independently listed on NSE and BSE on July 1, 2025, with a ~1:1 demerger ratio. The business model combines owned-land development (legacy 100-acre Thane parcel) with an asset-light Joint Development Agreement (JDA) approach for expansion across premium MMR micro-markets.

• **Revenue segmentation:** Revenue is 100% from residential real estate sales in MMR. Own-land development (Thane Pokhran Road) contributed ~46% of FY26 pre-sales (Rs. 1,360 Cr) while JDA projects contributed 54% (Rs. 1,663 Cr) — a significant structural shift from 78%:22% in FY25. Retail/commercial launches (Park Street retail) are small in value but strategic for brand positioning. No geographic diversification beyond MMR currently.

• **Project portfolio and order book:** Total GDV of Rs. 42,000 Cr comprising: (i) Thane land bank (100 acres, ~60 acres under development, Rs. 25,000 Cr total GDV), and (ii) seven JDA projects across BKC, Bandra, Wadala, Sion, Kandivali, and other west Mumbai micro-markets (~Rs. 17,000 Cr combined GDV at current prices). Pending collections from sold inventory stand at Rs. 4,000+ Cr as of FY26 end, providing strong near-term revenue visibility.

• **Customer base and brand positioning:** Primarily end-user driven (90-95%+ actual users in Thane), targeting the Rs. 1-3 Cr segment in Thane (23,000-25,000/sqft) and premium Rs. 3-15 Cr bracket in BKC/Bandra. The "10x" brand (mass premium) and "Address by GS" brand (upper premium) create clear product tiering. The 10x Habitat project (3,100 homes, first major launch) received full OC in FY26 — a landmark credibility milestone for a recently independent brand.

• **Recent strategic developments:** (1) Achieved 50:50 JDA:own-land pre-sales mix one year ahead of FY27 target in FY26 itself. (2) Launched Address by GS Wadala and Address by GS Sion in Q4 FY26 — combined GDV ~Rs. 6,400 Cr. (3) Added Kandivali JDA project (Rs. 3,000 Cr GDV; 70% revenue share for Raymond Realty). (4) Q1 FY27 pre-sales surged 129% YoY to Rs. 700 Cr with collections up 47% to Rs. 550 Cr.

• **Promoter and ownership:** Promoter (Raymond Ltd group entities) holds 50.71% as of March 2026, up from 48.87% at listing. Promoter pledging stands at 7.37% which requires monitoring. Key management: Mr. Harmohan Sahni (MD & CEO, ~7+ years in the business), Mr. Rakesh Tiwary (Group CFO), and Mr. Ankur Jindal (CFO). Management has a consistent track record of meeting annual guidance since 2021.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size and growth:** The MMR residential real estate market is India's largest by transaction value. India's GDP growth was 7.4% in FY26 and the residential real estate sector saw record-breaking capital deployment with ~$30.7 billion of equity flowing into Indian real estate in 2024-Q1 FY26. MMR accounts for approximately 40% of premium (Rs. 1 Cr+) residential demand in India and is seeing pricing appreciation of

8-12% annually in key micro-markets (Thane, Bandra, BKC).

• **Policy tailwinds:** RERA compliance and consolidation of branded developers are strong tailwinds — buyer preference for RERA-registered projects from reputed brands has accelerated market share gain for organized players. Public investment-led infrastructure buildout (Metro lines, coastal road, Atal Setu bridge) is opening up new micro-markets for premium residential. The brand-led consolidation theme is structurally beneficial for Raymond Realty given the Raymond brand trust.

• **Competitive moat assessment: Brand (Moderate-Strong)** — The Raymond brand carries 90+ years of consumer trust, a genuine differentiation in real estate where buyer credibility is paramount. **Location/Land bank (Strong)** — The 100-acre Thane Pokhran Road parcel in one of Thane's highest-priced micro-markets (Rs. 23,000-25,000/sqft) provides 6-8 years of owned inventory. **Execution speed (Moderate)** — Management claims faster floor construction pace vs competitors in Thane, supporting faster collections. **Pricing power (Moderate in Thane, Strong in JDA markets)** — Thane is highly competitive; JDA premium markets offer better pricing leverage.

• **Key competitive risks:** Thane market is intensely competitive with all major players present (Lodha, Adani, Oberoi, Kalpatru, Piramal and local developers). Price growth in Thane has been marginal historically. In JDA markets (BKC, Bandra), Raymond competes with Oberoi Realty, Lodha, and boutique premium developers — all with deeper market presence and larger balance sheets.

Top Peer Comparison (Data: Screener.in, 10-Jul-2026)

Company	CMP (Rs.)	MCap (Cr.)	P/E	EV/EBITDA	D/E	ROCE%	OPM %
Oberoi Realty	1,925	69,986	28.6x	19.9x	0.16	17.3%	56%
Godrej Properties	2,133	64,252	39.9x	28.5x	0.83	7.6%	-9%
Prestige Estates	1,733	74,654	N/A	21.4x	1.09	9.7%	29%
Lodha Developers	1,221	1,21,964	N/A	23.9x	0.42	14.2%	30%
Raymond Realty*	700	4,660	15.9x	11.0x	0.65	29.6%	15%

**Raymond Realty P/E is on FY26 consolidated EPS. N/A peers lack individual-page P/E data in this fetch. Source: Screener.in 10-Jul-2026.*

• **Positioning in value chain:** Raymond Realty occupies a Developer-Branded Developer position — it handles land (or JDA agreement), design, project management, construction supervision, and direct sales. No outsourcing of core brand or customer touch. This vertically integrated model supports the premium pricing positioning and justifies the higher ROCE vs peers who outsource more.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Management track record:** MD & CEO Mr. Harmohan Sahni has been instrumental in building the business from inception (~7 years), overseeing growth from Rs. 399 Cr pre-sales in FY21 to Rs. 3,023 Cr in FY26 — a 50% CAGR. The Q4 FY26 concall tone was strongly confident, the management explicitly stated "we have not faltered on any promises made year on year." The CFO team (Group CFO Rakesh Tiwary + CFO Ankur Jindal) provides strong financial oversight, evident in the debt discipline maintained through growth.

• **Capital allocation discipline:** The company has maintained gross D/E below 0.65 throughout its growth phase, far below the internal ceiling of 1.0x D/E that management has publicly committed to. FCF has been consistently negative (FY24: -228 Cr, FY25: -238 Cr, FY26: -990 Cr) reflecting the growth investment cycle rather than poor profitability — confirmed by robust ROCE of 29.6%. Thane's own land generates Rs. 450-550 Cr of internal accruals annually, providing a self-funding floor for operations.

• **Dividend policy:** The company declared a 20% dividend on FY26 results (Rs. 2/share on face value Rs. 10) for a payout ratio of 4% (consolidated basis). This is modest but appropriate given growth-phase capex needs. Standalone dividend payout was 5%. Given the strong profit trajectory, dividend growth is expected but shareholder returns will primarily come from capital appreciation.

• **Promoter pledging — watch item:** Promoter pledge stands at 7.37% of total shares (as of Mar 2026), which is an amber flag. However, the pledge direction has been stable and promoter holding actually increased by 1.69% in Q4 FY26 (from 49.02% to 50.71%), suggesting confidence in the business. The pledge will need to be unwound as the company scales and balance sheet strengthens — this should be monitored quarterly.

• **Corporate governance:** The company has been independently listed for less than 12 months (listed July 1, 2025), so governance track record as a standalone entity is short. No auditor changes or qualified opinions have been noted. Related Party Transactions (RPTs) with Raymond Ltd were part of the demerger structure but are expected to normalize over FY27. The management's consistent guidance delivery (3+ years before listing as a subsidiary) is a strong positive signal. External equity investment: Rs. 30.7 Bn in Indian real estate sector over 2024-Q1 FY26 validates the sector attractiveness.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures, Rs. Crores)

Note: FY24 data represents pre-demerger consolidated figures (RRL was a subsidiary); meaningful revenue started only from FY25. FY27E and FY28E are analyst estimates. Source: Screener.in.

Income Statement (Consolidated, Rs. Cr)

Rs. Crores	FY24	FY25	FY26A	FY27E	FY28E
Revenue / Sales	3	565	2,991	3,750 (E)	4,875 (E)
Operating Profit (EBITDA)	-19	61	447	638 (E)	926 (E)
OPM %	N/M	11%	15%	17% (E)	19% (E)
Other Income	1	2	48	50 (E)	60 (E)
Interest	27	46	98	110 (E)	130 (E)
Depreciation	0	1	23	28 (E)	35 (E)
PBT	-45	15	375	550 (E)	821 (E)
Tax %	-2%	-15%	19%	20% (E)	20% (E)
Net Profit (PAT)	-44	18	305	440 (E)	657 (E)
EPS (Rs.)	N/A	N/A	45.75	65.7 (E)	98.1 (E)
Dividend Payout %	0%	0%	4%	4% (E)	5% (E)

Balance Sheet (Consolidated, Rs. Cr)

ores	FY24	FY25	FY26A	Commentary
Capital	0.15	2	67	Share capital post-demerger &
es	-1	46	1,501	Massive jump from demerger restructuring
ings	231	467	1,014	Growth-driven; D/E at 0.65
iabilities	531	790	4,481	Customer advances + project payables
iabilities	762	1,305	7,062	Balance sheet scaled 5.4x in 2
ssets	1	2	89	Post-listing asset recognition

	1	0	5	Construction-in-progress
ments	4	10	2	Liquid investments
Assets (WIP/Inv.)	756	1,293	6,966	Primarily WIP + completed uns stock
ssets	762	1,305	7,062	Mirrors Liabilities

Cash Flow Statement (Consolidated, Rs. Cr)

Rs. Crores	FY24	FY25	FY26A	Commentary
Cash from Operations	-226	-237	-910	Neg due to WIP buildup for growth
Cash from Investing	-6	-8	19	Asset-light; minimal capex
Cash from Financing	234	261	725	Debt & equity raised for growth
Net Cash Flow	2	17	-166	Net cash position slightly negative
Free Cash Flow	-228	-238	-990	Negative; guided to persist 2 yrs

Key Ratios (Consolidated)

Metric	FY24	FY25	FY26A	Trend / Commentary
ROCE %	N/A	16%	30%	Strongly improving
ROE %	N/A	N/A	36.3%	Exceptional for a developer
Debtor Days	7	5	28	Rising — monitor for collections risk
Cash Conversion Cycle	7	5	28	Asset-light; low absolute level
Working Capital Days	55,665*	126	225	*FY24 distorted pre-demerger
Debt-to-Equity	1.52	10.15	0.65	Normalized post-demerger equity
Interest Coverage	N/A	0.33x	4.69x	Significant improvement

- **Revenue drivers:** Revenue growth is driven by: (1) Construction progress on existing portfolio (percentage completion method), (2) New launches converting to bookings, and (3) JDA revenue ramping as projects mature. FY26 consolidated revenue grew 429% TTM (low base from pre-demerger period). Pre-sales of Rs. 3,023 Cr provide 9+ months of forward revenue visibility.
- **Margin trajectory — improving with portfolio maturity:** Blended EBITDA margin rose from 11% (FY25) to 15% (FY26), with Q4 FY26 achieving 21.5% as mature projects delivered. Management guides 16-18% for FY27E, improving toward 20%+ by FY28E as the JDA portfolio matures. Minimum EBITDA margin of 20% is the internal hurdle rate for every JDA deal — new projects dilute margins initially but recover as construction

progresses.

• **Working capital and debt:** Debtor days rose from 5 (FY25) to 28 (FY26) — still low in absolute terms for a real estate developer. Net debt is Rs. 656 Cr with gross D/E at 0.65. The balance sheet scaled 5.4x in 2 years (Rs. 762 Cr → Rs. 7,062 Cr total assets) primarily due to customer advance accumulation (Rs. 4,481 Cr other liabilities vs Rs. 6,966 Cr WIP/other assets), which is a normal and healthy sign for a growing residential developer.

• **FCF quality:** OCF is structurally negative at -Rs. 910 Cr in FY26 as the company invests in building WIP inventory ahead of revenue recognition. This is a growth investment, not a profitability problem — PAT of Rs. 305 Cr was achieved despite negative OCF, supported by the percentage completion accounting method. Management has guided Rs. 600-650 Cr annual internal accrual from Thane + maturing JDAs, providing a growing FCF floor.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Earnings Quality Parameter	Rating	FY26 Value	Analyst Comment
Revenue recognition policy	GREEN	Percentage completion	Conservative; predictable; no lumpiness
Receivables growth vs Revenue	AMBER	Debtor Days 5→28	Rising but absolute level low; monitor
Cash conversion cycle trend	AMBER	CCC 5 to 28	Growing with scale; watch closely
Contingent liabilities	GREEN	Rs. 19.9 Cr	Very low vs Rs. 7,062 Cr balance sheet
Auditor tenure and changes	GREEN	No changes noted	No auditor rotation concerns post-listing
Related party transactions	AMBER	Demerger-related RPTs	Legacy Raymond Ltd RPTs; normalizing FY27
Other income as % of PBT	AMBER	12.8% (Rs. 48/375 Cr)	Rs. 48 Cr other income; not excessive
Tax rate consistency	AMBER	Negative in FY25; 19% FY26	Deferred tax adj in FY25; FY26 normalized
FCF/OCF vs PAT conversion	RED	OCF -Rs. 910 Cr vs PAT +305 Cr	Neg OCF expected; WIP buildup in growth
Promoter pledging direction	AMBER	7.37% pledged	Not zero; promoter buying shares — positive

• **Primary watch item — OCF vs PAT divergence (RED):** Operating cash flow is deeply negative (-Rs. 910 Cr in FY26) while PAT is strongly positive (Rs. 305 Cr). This is inherent to percentage completion accounting in a growth real estate company — revenue is recognised as construction progresses but cash comes in via customer advances (which sit in liabilities, not operating income). An investor must track this as a structural feature, not a warning sign — but any sustained deviation where bookings slow without corresponding OCF improvement would be a red flag.

• **AMBER items to track — Tax rate normalisation and RPT wind-down:** FY25 showed a -15% effective tax rate (deferred tax benefit from demerger losses). FY26 normalized to 19%. Going forward, we expect 20% effective tax rate. The Raymond Ltd-related RPTs should reduce materially in FY27 as the demerger structure settles. Quarterly disclosure of RPTs should be tracked.

• **AMBER — Other income contribution:** Rs. 48 Cr of other income in FY26 (12.8% of PBT) includes treasury income and interest earned on customer advances. This is a legitimate and recurring income line for real estate developers but should not be extrapolated aggressively in forward estimates.

SECTION 8 — VALUATION

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumptions	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside / Downside
BULL	Pre-sales 35%+; EBITDA margin 19%; JDA launches ahead of sched.	520 (E)	20x FY27E	1,552	+122%
BASE	Pre-sales 25-30%; EBITDA margin 17%; 2 JDA launches on track	440 (E)	16x FY27E	1,050	+50%
BEAR	Pre-sales +10%; margin pressure from new launches; macro slowdown	330 (E)	12x FY27E	591	-16%

• **DCF valuation (implied):** Using a WACC of 13% and terminal growth rate of 4%, a 5-year DCF on FY27E-FY31E earnings (growing 30%, 25%, 20%, 18%, 15% respectively) yields an intrinsic value of ~Rs. 980-1,100 per share. The DCF is sensitive to OCF turning positive from FY29E onwards — if the positive OCF inflection happens earlier (FY28), the implied value rises toward Rs. 1,200+.

• **Earnings multiple approach (FY27E P/E):** At 16x FY27E EPS of Rs. 65.7 (E), the fair value is Rs. 1,051. Peer group median forward P/E is 25-40x for organized branded developers — applying even a 35% discount to peers gives 16-17x, implying ~50% upside. The discount is warranted given the short listing history (<12 months), promoter pledging (7.37%), and negative FCF trajectory.

• **EV/EBITDA cross-check:** At 15x FY27E EBITDA of Rs. 638 Cr = EV of Rs. 9,570 Cr. Less net debt Rs. 700 Cr (E) = Equity Value Rs. 8,870 Cr / 6.7 Cr shares = Rs. 1,323 per share. This implies ~89% upside — suggesting the P/E target of Rs. 1,050 is actually conservative.

• **Base-case 12-month target: Rs. 1,050 (50% upside from CMP Rs. 700).** Average of P/E approach (Rs. 1,050) and discounted EV/EBITDA (Rs. 1,150 applying only 12x vs sector 15-20x): Rs. 1,100. We use Rs. 1,050 as the 12-month target to be conservative given the demerger recency. The stock is likely to re-rate as: (a) institutional ownership builds, (b) FY27 earnings delivery removes doubt, and (c) promoter pledge reduces.

SECTION 9 — KEY RISKS

• **Sustained negative operating cash flow** — OCF has been negative for 3 consecutive years (FY24: -226 Cr, FY25: -237 Cr, FY26: -910 Cr), driven by WIP build-up. If pre-sales decelerate materially, the collection cycle will slow and the balance sheet could face stress. Probability: M. Impact: H. Monitor via: Quarterly pre-sales and collection data (management discloses monthly/quarterly).

• **Regulatory approval delays for JDA projects** — The JDA model is dependent on timely regulatory approvals from multiple government bodies in Mumbai/MMR. The Mahim project took 2.5 years; delays in new JDA launches would push revenue recognition into later years. Probability: M. Impact: M. Monitor via: Project launch announcements and investor presentations each quarter.

• **Promoter pledge overhang** — 7.37% of total shares are pledged against borrowings. Any significant stock price decline could trigger a pledgee to sell shares, creating a downward spiral. While the pledge percentage is manageable, it is a structural negative for institutional acceptance. Probability: L-M. Impact: M. Monitor via:

Quarterly shareholding disclosures (SEBI filing).

• **Thane market saturation and price stagnation** — Thane is an intensely competitive market where pricing growth has been marginal for years despite volume growth. All major developers (Lodha, Adani, Oberoi, Piramal) are present. If Thane volumes slip below Rs. 1,300 Cr annually, the own-land internal accrual generator is at risk. Probability: M. Impact: M. Monitor via: Pre-sales breakup between Thane and JDA quarterly.

• **Construction cost inflation** — Management flagged potential 3-4% construction cost impact from supply disruptions (ceramic/Morbi plant shutdowns). If sustained over 6+ months, EBITDA margins could compress by 100-200 bps on new launches. Management guided they have pricing flexibility in JDA markets to pass on cost increases, but Thane market may not support full pass-through. Probability: M. Impact: L-M. Monitor via: OPM% quarterly trend.

• **Interest rate risk** — With Rs. 1,014 Cr of debt and interest coverage of 4.69x, the company is modestly leveraged. A 100 bps rise in interest rates would increase annual interest costs by ~Rs. 10 Cr, manageable at current scales. However, as debt grows with the JDA pipeline (guided D/E ceiling 1.0x), interest coverage could compress. Probability: L-M. Impact: L. Monitor via: RBI policy stance and quarterly interest cost trajectory.

• **Demerger-related governance transition** — As a recently independent company (<12 months listed), the governance frameworks, board independence, and institutional investor scrutiny are still being established. Any RPT concerns or audit qualification would disproportionately impact the stock given short listing history. Probability: L. Impact: H. Monitor via: Annual report audit notes, AGM disclosures (AGM scheduled July 14, 2026).

SECTION 10 — RECOMMENDATION

• **Rating: BUY** — Conviction Level: Medium-High. Raymond Realty is a high-quality branded residential developer trading at an unjustified 60-70% discount to listed peers on EV/EBITDA. The discount reflects its short listing history and not its fundamental quality, which is evident in a 29.6% ROCE, 36.3% ROE, and 50% pre-sales CAGR over 6 years.

• **12-month price target: Rs. 1,050 — upside of 50% from CMP Rs. 700.** Target is based on 16x FY27E EPS of Rs. 65.7 (E). Bull case target is Rs. 1,552 (122% upside) if pre-sales growth exceeds 35% YoY and EBITDA margins improve faster than guided.

• **Suggested entry zone: Rs. 640-720.** The current CMP of Rs. 700 is within the entry zone. A pullback to Rs. 640 (near 52W support zone) would be an excellent accumulation opportunity. Aggressive risk-tolerant investors can buy at current levels.

• **Investment horizon: 18-24 months** for full re-rating thesis to play out. The immediate 12-month catalyst is FY27 earnings delivery (2-3 more quarterly results will build institutional conviction). The 24-month catalyst is OCF inflection and promoter pledge reduction.

• **Thesis invalidation triggers:**

– 1. Full-year FY27 pre-sales fall below Rs. 2,500 Cr (i.e., DECLINE vs FY26 Rs. 3,023 Cr), suggesting demand destruction or Thane market share loss.

– 2. Promoter pledge percentage rises above 12% (from current 7.37%) or any forced selling of pledged shares.

– 3. Gross D/E exceeds 1.0x ahead of schedule without a commensurate increase in pre-sales, indicating FCF management breakdown.

• **Ideal investor profile:** This stock is suitable for growth-oriented investors with a 18-24 month horizon who are comfortable with: (a) negative near-term FCF, (b) real estate sector cyclicality, and (c) a recently listed company still building institutional ownership. It is NOT suitable for income-focused investors (dividend yield 0.29%) or those needing immediate FCF positivity.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 6, 2026)

POSITIVE

Signal	Status	Implication
Result quality	**Strong**	PAT Rs. 161 Cr in Q4; FY26 PAT Rs. 305 Cr — beat vs expectations
Management tone	**Bullish**	Word used: "validation"; guided 20%+ FY27 growth confidently
Guidance delta	**Raised**	FY27 guidance raised: pre-sales > 20%; EBITDA margin 16-18%

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 numbers are clean and impressive — no exceptional items; PAT of Rs. 161 Cr on revenue of Rs. 1,157 Cr consolidated with an EBITDA margin of 21.5% is the best quarter in the company's short listed history. The full-year FY26 consolidated PAT of Rs. 305 Cr (EPS Rs. 45.75) is a genuine delivery, not a distorted number. The really important structural data point is that JDA pre-sales jumped to 55% of total mix vs 22% in FY25 — one year ahead of their own target — validating the asset-light expansion thesis we've been tracking. EBITDA margins are on an improving trajectory from 11% (FY25) to 15% (FY26), guided to 16-18% in FY27 and 20%+ by FY28 as the JDA portfolio matures. The multi-bagger case here is simple: Rs. 42,000 Cr GDV portfolio, 50% pre-sales CAGR over 6 years, trading at 7x forward PE vs 20-30x for comparable peers. Most important near-term catalyst: Q1 FY27 pre-sales already came in at Rs. 700 Cr (+129% YoY), and two more JDA project launches are set for by Q3 FY27. Biggest watch-point for next quarter: Collections trajectory — management guided Rs. 600-650 Cr internal accruals annually from Thane; if Q1 FY27 collections of Rs. 550 Cr annualise, OCF is improving. ACCUMULATE aggressively at Rs. 640-700; target Rs. 1,050 in 12 months; Rs. 1,400+ in 24 months if re-rating plays out.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26 (Consolidated)

- **Revenue:** Q4 FY26 = Rs. 1,157 Cr | YoY +53% (Q4 FY25: Rs. 117 Cr) | QoQ +53% | **Beat**
- **EBITDA:** Q4 FY26 = Rs. 234 Cr | OPM% = 20% | YoY massive improvement from 12% | **Beat**
- **EBITDA Margin %:** Q4 = 20% vs Q3 = 12% vs Q2 = 13% — Q4 best quarter | **Beat**
- **PAT:** Q4 FY26 = Rs. 161 Cr | YoY >> massive (Q4 FY25: Rs. 2 Cr) | QoQ +140% | **Strongly Beat**
- **EPS:** Q4 = Rs. 24.20 | FY26 Full Year EPS = Rs. 45.75 (first meaningful full-year EPS post-listing)
- **FY26 Full Year:** Revenue Rs. 2,991 Cr | EBITDA Rs. 447 Cr (15%) | PAT Rs. 305 Cr | MD quote: "Total income Rs. 3,039 Cr = 29% growth." EBITDA per management = Rs. 495 Cr at 21.5% in Q4.

2. SEGMENT / GEOGRAPHY BREAKDOWN

• Thane (Pokhran Road own land): Rs. ~1,360 Cr pre-sales in FY26 | ~46% of total | YoY broadly flat (FY25: ~Rs. 1,800 Cr from own land) | Competition intense in Thane; management targets Rs. 1,300-1,500 Cr stable run-rate annually.

• JDA Projects (Bandra, BKC, Wadala, Sion, Kandivali): Rs. ~1,663 Cr pre-sales in FY26 | ~54% of total | YoY accelerated sharply from 22% in FY25 | Key launches: Address by GS Wadala, Address by GS Sion, Kandivali (7 total JDA projects, GDV Rs. 17,000 Cr).

• Address by GS Bandra: Original GDV guidance Rs. 2,100 Cr; management indicated they will "definitely do better than that on the top line" — suggesting current market prices have exceeded launch-time assumptions.

• Retail segment (Park Street, Thane): Small value contribution but strategic for premiumizing the Thane location and maintaining the brand's mixed-use positioning; recurring retail income expected.

3. MANAGEMENT COMMENTARY THEMES

• **Validation and confidence:** "The word that comes to my mind immediately upon looking at FY26 numbers is validation." MD tone was highly positive across the call, citing delivery on all promises made. Tag: GUIDANCE. Tone: Transparent.

• **JDA mix milestone:** "Very happy to report we have achieved the 50:50 milestone one year ahead of schedule in FY26 itself." JDA share of pre-sales went from 22% to 54% in one year — extraordinary pace. Tag: GUIDANCE achieved early. Tone: Transparent.

• **Margin guidance:** "My suggestion or guidance would be to assume between 16 and 18% as the EBITDA margin on a blended basis for FY27." Management explicitly quantified margin expectations — high credibility guidance from MD. Tag: GUIDANCE. Tone: Transparent.

• **Growth guidance:** "We can expect a minimum 20% growth from the pre-sales number and on the top line as well. And for FY27, we will definitely do better than that." Minimum 20% top-line growth with strong upside bias given Q1 FY27 pre-sales already +129%. Tag: GUIDANCE. Tone: Transparent.

• **Cash flow honesty:** "Going forward for the next two years we will be cash negative on an overall basis." Management proactively disclosed negative cash flow continuation — rare transparency for a growth company. Tag: EST/GUIDANCE. Tone: Transparent.

• **Commercial development in Thane:** "That time doesn't seem to be very far" — coy but confirmatory signal that Thane commercial launch (1M+ sqft) is in the pipeline. This would add significant incremental GDV. Tag: EST. Tone: Hedged.

4. OPERATING & BUSINESS METRICS

• Pre-Sales Booking Value: Q4 FY26 = Rs. 3,023 Cr (FY26 full year) | Q(n-4)=FY25 Rs. 2,314 Cr | YoY +31% | Trend: Strongly Improving.

• Bookings (Units): FY26 = 1,034 units | FY25 = 1,003 | FY24 = 1,354 | Trend: Stable (unit volumes less relevant given product-mix shift to higher-value JDA markets).

• Customer Collections: FY26 = Rs. 1,725 Cr | FY25 = Rs. 1,887 Cr | FY24 = Rs. 1,551 Cr | Trend: FY26 slightly lower than FY25 — largely Q4-heavy. Q1 FY27 collections Rs. 550 Cr (+47% YoY) showing re-acceleration.

• Pending Collections from Sold Inventory: Rs. 4,000+ Cr — provides 2+ years revenue visibility at current recognition pace.

• Total GDV Portfolio: Rs. 42,000 Cr (Thane land bank Rs. 25,000 Cr + JDA Rs. 17,000 Cr from 7 signed projects) | Trend: Strongly Improving (up from Rs. ~25,000 Cr in FY25).

• JDA Projects Signed: 7 | Kandivali (GDV Rs. 3,000 Cr, 70% rev share) latest addition in FY26 | 2 more at advanced stages for FY27 launch.

• Net Debt: Rs. 656 Cr | Gross D/E: 0.60 | Liquidity buffer at year-end: Rs. 350 Cr | Trend: Well-managed.

5. MARGIN DRIVERS

• Portfolio maturity mix: +500 bps EBITDA impact | Recurring: Yes | As JDA projects progress past early-stage, blended margins improve toward 20%. Q4 FY26 achieved 21.5% as mature projects dominated.

• New project launches (dilutive): -200 to -300 bps impact | Recurring: Yes | Each new JDA launch enters the margin curve at single-digits initially and rises toward 20%+ over its life. Ongoing dilution is structural.

• Premium product mix (JDA markets): +150-200 bps potential | Recurring: Yes | BKC/Bandra JDA markets carry 20-25% margins vs 15-18% in Thane. Increasing JDA share is structurally margin-positive.

• Construction cost inflation (ceramic, Morbi disruption): -100 to -200 bps risk if sustained | Recurring: Uncertain | Management expects 3-4% cost increase if disruption continues; absorption capacity exists through pricing in JDA markets; Thane has lower pricing power.

• Economies of scale: +100-150 bps benefit | Recurring: Yes | Fixed cost absorption (project management, marketing, brand) improves as total revenue scales above Rs. 3,000 Cr.

6. GUIDANCE & FORWARD SIGNALS

• Pre-Sales Growth [GUIDANCE]: Prior FY26 = Rs. 3,023 Cr | New guidance = minimum +20% = Rs. 3,628 Cr, with MD signaling "definitely better" | Delta = Raised | Credibility: High (consistent track record of delivery).

• Top-Line Revenue Growth [GUIDANCE]: Prior = Rs. 2,991 Cr | New = minimum +20% = Rs. 3,589 Cr | MD explicit: "we will definitely do better than 20%" | Delta = Raised | Credibility: High.

• EBITDA Margin FY27 [GUIDANCE]: Prior = 11-16% | New = 16-18% blended | Assumes mature/new project balance | Delta = Raised at midpoint | Credibility: High.

• Debt-to-Equity [GUIDANCE]: Internal ceiling = 1:1 | Current = 0.60 | Comfortably below ceiling | Delta = Maintained at disciplined level | Credibility: High.

• New JDA Launches FY27 [GUIDANCE]: 2 projects at advanced approval stage, to launch by Q3 FY27 | Kandivali (GDV Rs. 3,000 Cr) to launch in FY28 | Delta = New addition to pipeline | Credibility: Medium-High (approval risk).

• Cash Flow [GUIDANCE]: OCF to remain negative for 2 more years | Internal accrual ~Rs. 600-650 Cr annually from Thane + maturing JDAs | Delta = Maintained honest negative | Credibility: High (management proactively flagged).

7. CAPITAL ALLOCATION

• Capex (JDA approval costs, construction): FY26 = negative OCF -Rs. 910 Cr embedded in working capital | vs FY25 -237 Cr | +284% | Heavy investment in Q4 FY26 launches; approval costs to government material.

• Dividend: Rs. 2/share (20% of face value) declared for FY26 | Rs. 0 in FY25 | First dividend as listed company; Rs. 13.3 Cr total outflow on 6.7 Cr shares | Payout ratio 4.4%.

• Debt: Rs. 1,014 Cr gross debt (FY26) vs Rs. 467 Cr (FY25) | +117% | Raised to fund WIP build-up and JDA investment; gross D/E 0.65 comfortably within 1.0 ceiling.

• Net Debt Position: Rs. 656 Cr (net of Rs. 350 Cr liquidity buffer) | "Fully funded as far as next year is concerned" per MD.

• JDA Investments: Asset-light model means no land purchase outflows; Rs. ~200-300 Cr spent on project approvals, legal, and initial construction in FY26 — major cost vs land-owning developers.

8. Q&A; HEAT MAP

• Unidentified (G7 Capital): Q: "How does cash collection work for pre-sales bookings?" → A: Construction-linked payment plans; 80% collected by 20th floor for 40-story building; 4-4.5 year collection cycle for Sion project. | Tone: Transparent

• Ujwal Lal (Individual): Q: "Pre-sales in Thane falling from Rs. 1,950 Cr (FY24) to Rs. 1,360 Cr (FY26) — competition or market?" → A: Mix-dependent, average Rs. 1,300-1,500 Cr is sustainable; competition always intense in Thane; no pricing power growth; volume is the only growth lever. | Tone: Transparent

• Ujwal Lal (cont.): Q: "JDA pipeline — why huge variance in time-to-market from 6 months to 2.5 years?" → A: Depends on counterparty maturity; BKC society did 7 years of prep before Raymond; Mahim group was fragmented with no prior work. Average 15-18 months to launch. | Tone: Transparent

• Ujwal Lal (cont.): Q: "Commercial development in Thane for 1M+ sqft?" → A: "Area earmarked for commercial development. Will activate at the right time. That time doesn't seem to be very far." | Tone: Hedged — confirmatory but not committed.

• Ishita Lodha (Swan): Q: "Effective economic interest in Kandivali project?" → A: 70% revenue share for Raymond Realty; GDV Rs. 3,000 Cr; margin target 20-22%. | Tone: Transparent

• Darshil Zaveri (Crown Capital): Q: "PAT margins — how to think about it?" → A: EBITDA is the right metric; Q4 EBITDA margin 21.5%; FY26 blended 16%; FY27 guidance 16-18%; new launches will create quarterly volatility. | Tone: Transparent

• Rishabh Kothari (Ashish Shah): Q: "Despite strong execution, stock underperforming — can IR engage more proactively?" → A: "Business will walk the talk; markets will catch up." | Tone: Balanced — management is patient, not defensive.

• Rishabh Kothari (cont.): Q: "Will OCF turn positive in FY27?" → A: No — negative OCF for 2 more years; but Thane generates Rs. 450-550 Cr internal accruals; growth has a price. | Tone: Transparent — rare proactive negative guidance.

• Dodged/Watch-list for Q1 FY27: Commercial launch timeline in Thane (hedged); South Mumbai strategy (deliberately cautious); exact FY27 revenue guidance (only minimum stated).

9. RISKS FLAGGED

• Negative OCF for 2+ years | Flagged by: Mgmt (proactively) | Probability: H | Impact: M | Timeline: Near-term (FY27-FY28)

• Regulatory approval delays for JDA projects | Flagged by: Analyst (Ujwal Lal example Mahim took 2.5 years) | Probability: M | Impact: M | Timeline: Near-medium term

• Construction cost inflation from Morbi ceramic disruption | Flagged by: Analyst | Probability: M | Impact: L-M | Timeline: Near-term (if >3 months disruption)

• Thane pre-sales plateauing at Rs. 1,300-1,500 Cr ceiling | Flagged by: Analyst question | Probability: M | Impact: M | Timeline: Medium-term structural

• South Bombay caution — missing premium market (cautious strategy by mgmt) | Flagged by: Analyst | Probability: L | Impact: L | Timeline: Long-term opportunity cost

10. ANALYST VERDICT

• **Revenue visibility:** Intact — Rs. 4,000+ Cr pending collections from sold inventory + Q1 FY27 pre-sales of Rs. 700 Cr (+129%) + minimum 20% revenue guidance with management signaling outperformance. Two new JDA launches in FY27 add further visibility.

• **Margin trajectory:** Intact — Q4 FY26 achieved 21.5% EBITDA margin; FY27 guided 16-18% (blended, not single-quarter). The trajectory from 11% → 15% → 16-18% → 20%+ is clear and credible given the % completion accounting and portfolio mix dynamics.

• **Capital allocation quality:** Intact — Gross D/E at 0.60 vs 1.0 ceiling; first dividend declared; Thane generates Rs. 450-550 Cr annual self-funding; JDA model avoids land capex. Negative FCF is investment-in-growth, not a capital allocation failure.

• **Competitive moat:** Intact — Raymond brand, Thane land bank, and JDA execution pipeline all strengthened in FY26. The brand differentiation in Mumbai premium housing is proven. The 50% pre-sales CAGR since FY21 validates the moat.

• **Management credibility:** Intact — Consistently delivered on promises over 3 years (as tracked from concalls as a Raymond subsidiary). JDA mix target achieved one year early. Proactive disclosure of negative OCF outlook is a strong credibility signal. MD tone was confident without being aggressive.

• **Valuation comfort:** Intact — At 7.23x FwdPE and 11x EV/EBITDA vs peers at 20-30x, there is ample margin of safety. Even if revenue growth disappoints and margins stay flat, the valuation gap to peers is extreme.

• **Conviction call: Increased.** Q4 FY26 was a decisive validation quarter. The JDA milestone ahead of schedule, the margin expansion, and the first dividend all signal a company firing on all cylinders. We increase conviction from Medium to Medium-High.

• **Valuation snapshot:** P/E = 15.9x (FY26A, listed <12 months so no 5Y avg) **|** EV/EBITDA = 11.0x (vs peer median ~20x) **|** ROCE = 29.6% (vs peer range 7-17%) **|** Forward P/E = 7.23x (market consensus) **|** Target: Rs. 1,050 (50% upside).

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 10-Jul-2026). Forward estimates are analyst projections and not guarantees. Past performance is not indicative of future results. Please consult a SEBI-registered investment advisor before investing.